Syrma SGS Technology Ltd

Concall Tracker, Q1-2027 update | Screener ticker: SYRMA | Prepared 6 Nov 2026 | Coverage capped at calls held by 30 Sep 2026 | Builds on the Q4-2026 report

1. Snapshot

What it does: Syrma is a contract electronics maker (EMS = electronics manufacturing services). It builds circuit boards and finished electronic products for other brands in cars, factories, consumer gadgets, medical devices, railways and defence. It earns more when it also designs the product (ODM = original design manufacturing) instead of just building to a client's drawing.

₹27,983 cr
Market value. A mid-sized company the market prices richly.

₹1,604 cr
Q1 FY27 sales (Apr-Jun 2026, consolidated). Up 67% on a year ago. Bigger than any earlier quarter.

₹106 cr
Q1 net profit. Up 112%, more than doubled.

10.1%
Q1 operating margin (EBITDA = profit before interest, tax and depreciation, as a share of sales). Below last quarter's 11.3% because more cheap consumer work came through.

₹6,770 cr
Order book. About ₹5,400 cr of it is due within 12 months. Roughly a year of sales already lined up.

~74x
Price-to-earnings on Screener. You pay a lot for each rupee of profit.

2. Concall coverage

Quarter	Date	Read?
Q1 FY24 → Q3 FY26 (11 calls)	Aug 2023 - Jan 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	12 May 2026	Read in the Q4-2026 report
Q1 FY27	30 Jul 2026	Newly deep-read in full ★

Only the Q1 FY27 call was read in full. The history comes from the Q4-2026 report. A Q2 FY27 call held in Nov 2026 is outside this report's window.

2b. Latest concall highlights: Q1 FY27 (call held 30 Jul 2026)

- **Very strong quarter.** Sales ₹1,604 cr (up 67%), operating profit ₹162 cr (up 69%), net profit ₹106 cr (up 112%). Management said there was no one-time item in it.
- **The two profit engines kept going.** Exports ₹387 cr (up 61%, about a quarter of sales). Design-led ODM sales ₹270 cr against ₹125 cr a year ago. Plain read: the higher-value work is growing fastest.
- **Guidance kept, and they now expect to beat it.** Sales growth of 35%+ and a 10.5-11% margin for FY27. The MD said they "should exceed" both, but wants one more quarter before saying by how much.
- **Supply chain is the worry, not demand.** Middle East tension has made chips, memory and some board chemicals scarce. Syrma is holding extra stock on purpose for a quarter or two. Working-capital days rose from 63 to 71 and short-term borrowing went up about ₹340 cr. It's still net cash, ₹122 cr.
- **New faces and deals.** A new CEO, Jaidit Brar (24 years at McKinsey), joined on 29 June. A 60:40 joint venture with Japan's Kaga to build all of Kaga's electronics in India. The circuit-board (PCB) plant is about two-thirds built and should start commercial production by April 2027.

2c. Business mix & capacity

Mix (Q1 FY27): exports ~24% of sales, domestic ~76%. By segment consumer 34%, automotive 25%, the rest industrial, healthcare, IT and railways. Plain read: about one rupee in four comes from abroad, and consumer was heavier than the ~30% management aims for. **Capacity:** plants run at 65-70%, with expansions in Bangalore, Pune and a medical-devices plant in Jodhpur. Plain read: there's room to grow on today's lines. Non-PCB capex for the year is ₹100-150 cr.

2d. Since our last report

Builds on the **Q4-2026 report** (boundary call 12 May 2026). Prior verdicts: **trigger YES**, **consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Shift to exports and design work is lifting margin and profit.	Exports up 61%, ODM more than doubled, profit up 112%.	Confirmed
Consistency: YES	Under-promises, over-delivers. Some timing slips.	Guide held, with a clear signal they'll beat it.	Confirmed
Margin guide 10.5-11%	Set below the 11.3% just delivered.	Q1 10.1% on a heavy consumer mix. Full-year guide kept.	On-track, watch
PCB plant	Revenue from FY28.	Building ~65-70% done, equipment from Oct, production by Apr 2027.	On-track
Solar / renewables after KSolare fell through	Back to square one.	"In negotiation with potential partners." Nothing signed.	Unchanged
Working capital	Finally down to 63 days.	Back up to 71 days by choice, to hold scarce parts.	Slipping (deliberate)

Verdict change: both verdicts unchanged. The quarter backs the trigger hard. Consistency holds because the guide is intact and they've openly flagged the trade-offs (lower margin %, more inventory) before being asked.

3. Earning Trigger thesis

Syrma moved away from cheap consumer assembly toward exports, its own designs and richer markets like cars, medical and defence. That mix shift is why profit grows much faster than sales. Next come the PCB plant (India imports most of its circuit boards) and new legs like defence and the Kaga JV.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Exports	Grow 30-40% this year.	Q1 up 61%.	Live	Strong	↑ Improving
ODM / design	Take from 17% toward a quarter of sales over time.	₹270 cr vs ₹125 cr.	Live, multi-year	Strong	↑ Improving
PCB plant	Production by Apr 2027. Early margin under 10%, later 15-18%.	On schedule, funded from cash, debt and a government subsidy.	FY28+	Moderate	Unchanged
Medical devices	MedTech to grow ~50% this year.	Healthcare orders ~₹500 cr, two new clients, Jodhpur expansion.	FY27-28	Moderate	↑ Improving
Defence (Elcome) & Kaga JV	Defence scales up in coming quarters. Kaga JV for exclusive EMS work.	Both early.	FY28+	Moderate / unproven	New (Kaga)

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 margin	Lift to 7% → 8% → 8.5-9%	Reached 11.3% in FY26	Delivered (beat)
Cut consumer share	Toward ~30%	~54% to ~30% by FY26. Q1 FY27 back at 34%	Delivered, wobbling
FY25 exports ₹1,000 cr	Cross ₹1,000 cr	Missed in FY25, beat in FY26 at ₹1,200 cr	Partly (a year late)
KSolare deal	Buy into solar inverters	Cancelled. Still looking for a partner	Dropped
PCB plant	Build and start FY27-28	On schedule	On track
FY27 sales +35%, margin 10.5-11%	Set May 2026	Q1 +67% at 10.1%	Too early, ahead on sales

Narrative drift: none worth worrying about. The same "profitable growth over cheap volume" line runs through every call, and Q1 fits it. Two things changed in the room: a new CEO from outside the industry, and a fresh joint venture. The MD was also upfront that passing on higher chip prices lowers the margin percentage even when rupee profit holds. That's the kind of thing a management team says when it isn't trying to dress up a number.

5. Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

Q1 strengthened it. Exports and design-led sales, the two things that make Syrma more profitable, grew fastest. Profit doubled and the order book kept rising. The PCB plant is on time for a 2027 start. The risk is outside the company: a parts shortage could hold back deliveries or squeeze margins for a few quarters.

Management consistent? → YES

vs last quarter: unchanged

Nothing moved this down. They kept a conservative guide after a strong quarter, explained the lower margin before anyone could spin it, and stayed on schedule with the PCB plant. Old soft spots remain: solar still has no plan, and working capital is up again. A new CEO is worth watching for any change in style.

Sources: Syrma SGS Q1 FY27 earnings call transcript (30 Jul 2026) from Screener.in; Screener financial data; prior Q4-2026 concall-tracker report. Not investment advice.